LONE STAR FINANCING

YOUR TEXAS HOMEBUYER GUIDE

The complete homebuying guide.

From your first application to your front door.
A clear plan with Neal Pyles at Lone Star Financing.



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START HERE

Let’s make this make sense.

You don’t have to learn mortgage language just to figure out where to start.

Hey, I’m Neal.

I’m a Mortgage Loan Officer with Lone Star Financing, and I’ve worked in mortgage since 2017. My preferred first step is your secure application so I can understand your situation before we talk.

We’ll review loan options, the full payment, and cash to close. Then I’ll help you stay on track while you shop and work toward closing.



Your path to the keys

01 **Apply and gather documents**

02 **Compare payment and loan options**

03 **Review cash, rates, and APR**

04 **Get preapproved and start shopping**

05 **Coordinate your offer with your agent**

06 **Meet contract deadlines**

07 **Check the property and loan file**

08 **Review closing figures and sign**

09 **Confirm funding and possession**

10 **Set up life as a homeowner**

Your team: I handle your financing strategy and mortgage questions. Your agent handles home search, offers, and contract negotiations. Processing, underwriting, title, and insurance each complete their part of the transaction.

Some steps overlap. Preparation and shopping can take time; your contract and lender requirements determine the closing schedule. FAQs, a glossary, and your planning worksheet follow on pages 15 through 17.

YOUR BUDGET

Shop by payment, too.

The price on the listing is only one part of what the home costs each month.

Start with a payment that works for your life. Leave room for utilities, repairs, moving, savings, and the things you still want to enjoy. Your comfortable budget may be lower than the lender's maximum.

An illustrative monthly payment

$350,000 purchase • 5% down • $332,500 loan • 30 year fixed term • hypothetical 6.50% interest rate. These assumptions aren't a current offer.

Principal and interest	**$2,101.63**
Property taxes: assumed $7,000 per year	**$583.33**
Homeowners insurance: assumed $3,000 per year	**$250.00**
Mortgage insurance: illustrative only	**$100.00**
HOA: assumed separate monthly bill	**$50.00**
TOTAL MONTHLY HOUSING COST	**$3,084.96**

Taxes, insurance, mortgage insurance, and HOA vary by property and borrower. HOA dues are often paid separately. Utilities and maintenance aren't included above. A fixed interest rate doesn't keep taxes or insurance from changing.

Two budgets matter

The lender evaluates your qualifying income and debts. You decide what fits your take home income and priorities. I'll help you compare both before you stretch for a house.

Official references: [1] CFPB [18] CFPB [24] CFPB
Select a reference to open the official guidance.

APPLICATION AND PREPARATION

Give me the full picture.

You don’t need a property picked out to start preparing your financing.

Complete my secure application first so our conversation can focus on your options. Share your goal, timing, income, debts, assets, down payment source, and whether you need to sell a home. If an answer is unclear, let me know.

Your common starting documents

- [ ] Government issued photo ID and the requested contact and residence history.
- [ ] Recent pay statements, commonly the latest 30 days, and the most recent two years of W2 forms.
- [ ] Recent asset statements, commonly the latest two months, for closing funds or reserves.
- [ ] Current housing and other property details, plus requested gift or other income records.

Self employed? We may need personal and business tax returns, a current profit and loss statement, or lender specific bank statement documentation. **VA, retired, or moving up?** Your situation may require eligibility, income, or home sale records. I’ll tailor the list.

The application starts the review

It isn’t a final approval or a commitment to a loan. Before we request credit, we’ll discuss that step and obtain the required authorization. I’ll review the file, identify missing items, and explain the next steps toward preapproval.

Upload complete, readable files through the secure portal, including every statement page. Keep documents current, and ask before moving closing funds. Don’t send sensitive account information or Social Security numbers by ordinary email or text.

Start My Secure Application

Official references: [2] CFPB [25] CFPB [26] CFPB
Select a reference to open the official guidance.

LOAN OPTIONS

There’s more than one way home.

We’ll compare the paths available for your income, property, credit, down payment, and goals.

01 Conventional

Some eligible primary home programs allow as little as 3% down. Private mortgage insurance generally applies with less than 20% down.

02 FHA

Down payment can be as low as 3.5% for eligible borrowers. Upfront and ongoing mortgage insurance affect the full cost.

03 VA

Eligible borrowers may qualify with no down payment, subject to entitlement, value, and lender rules. No monthly mortgage insurance. A funding fee may apply unless exempt.

04 USDA

Eligible buyers and eligible rural properties may qualify with no down payment. Household income limits and program fees apply.

05 Jumbo

For loan amounts above applicable conforming limits. Down payment, credit, and reserves depend on the lender and scenario.

06 Bank statement and other alternatives

Certain self employed borrowers may qualify using alternative income documentation. Pricing and down payment requirements can differ.

07 Down payment assistance

An eligible program may help with funds. It can involve income limits, education, a second loan, repayment terms, or a different rate.

Buying an investment property? Tell me upfront. DSCR is an investor path with a different eligibility review from a primary home purchase. Every option requires qualification and lender approval.

Official references: [3] Fannie Mae [4] HUD [5] VA [6] USDA [15] CFPB
Select a reference to open the official guidance.

UPFRONT MONEY

Plan your cash to close.

Separate what you need before closing, at closing, and afterward.

Before closing

You may pay earnest money, an option fee, an inspection, and other charges before signing. Track what's already paid so deposits and expenses are counted correctly.

At closing and afterward

Cash to close includes your down payment, costs, and adjustments, less applicable credits and deposits. Keep extra funds for moving, repairs, and any required reserves.

An illustrative cash to close breakdown

Same $350,000 purchase with 5% down. These are hypothetical costs to explain the math, not a quote.

Down payment	**$17,500**
Loan and transaction costs	**$8,500**
Prepaids and initial escrow funding	**$4,500**
Total before credits	**$30,500**
Less approved seller credit	**($5,000)**
Less earnest money already paid	**($3,000)**
ILLUSTRATIVE AMOUNT DUE AT CLOSING	**$22,500**

This example omits other adjustments and assumes the seller credit is allowed and fully usable. Separately paid expenses still affect your budget. The final Closing Disclosure and title figures control.

Seller credits and gifts: Credits have program limits and generally pay eligible costs rather than your required down payment. Gift eligibility and documentation depend on the loan. Discuss either with me before building your offer around it.

Official references: [1] CFPB [3] Fannie Mae [27] CFPB
Select a reference to open the official guidance.

INTEREST RATE, APR, AND COSTS

What APR actually tells you.

Compare the full borrowing cost along with the payment and cash you need upfront.

Interest rate

The rate charged on your loan balance. Along with the amount borrowed and loan term, it's used to calculate the principal and interest part of your payment.

APR = Annual Percentage Rate

A yearly measure of borrowing cost that includes the interest rate and certain loan charges, such as points, broker fees, and other applicable financing costs. APR is usually higher than the interest rate.

How to use it

- **Compare similar loans.** Two loans can have the same interest rate but different APRs because their financing costs differ. Compare the same loan type and term.
- **APR isn't your payment rate.** It doesn't include every homeownership expense. Review taxes, homeowners insurance, HOA, and cash to close separately.
- **Find it on the Loan Estimate.** The interest rate is on page 1 under Loan Terms. APR is on page 3 under Comparisons. Fixed and adjustable rate APRs need extra care when compared.

Points, credits, and the rate lock

Points: Upfront costs for a lower rate; one point is 1% of the loan amount. **Lender credits:** May offset costs in exchange for a higher rate. **Rate lock:** A rate agreement for a stated period and conditions. Ask about expiration and extensions.

APR helps compare costs over the loan term. If you expect to sell or refinance sooner, also compare upfront costs and how long it takes payment savings to recover points.

Worksheet versus official disclosures: My preliminary cost worksheet helps us plan. For a covered mortgage, the lender generally must deliver or mail a Loan Estimate within three business days of receiving the six required application items. A preapproval request without a property address may not trigger it yet. The estimate isn't an approval or a rate lock.

Official references: [7] CFPB [8] CFPB [13] CFPB [14] CFPB [28] CFPB
Select a reference to open the official guidance.

PREAPPROVAL AND HOME SEARCH

Know what your approval covers.

The review behind the letter matters more than the label.

Early qualification

A starting review estimates options and identifies what needs attention. If details haven't been verified, the numbers are preliminary.

Preapproval for shopping

The lender may review credit, income, assets, and other details before issuing a letter. Ask what's been verified and which conditions remain.

A preapproval is conditional. The property, valuation, updated documents, final underwriting, and financial changes can affect the result. The letter may expire, and pricing may change while you shop.

Keep me in the loop while you're looking.

- Send the listing address and proposed price before making an offer.
- Ask for a payment scenario using that home's taxes, insurance, HOA, and assessments.
- Tell me about builder incentives, seller credits, or the sale of your current home.
- Report changes to income, debts, savings, or timing so we can update the plan.

Your preapproval shouldn't decide your lifestyle

We'll use your priorities and the full monthly cost to guide the search. You don't have to spend your maximum qualifying amount.

Before touring with an agent, review the required written agreement, services, duration, exclusivity, and compensation. Broker compensation is negotiable. Understand how any amount you owe fits your purchase budget.

Official references: [10] CFPB [23] TREC [26] CFPB
Select a reference to open the official guidance.

YOUR OFFER

Make the offer fit the plan.

Your agent handles the offer and negotiation. I'll help you understand the financing before you commit.

Review these pieces before signing.

- **Price and financing:** Confirm the loan amount, down payment, and program eligibility.
- **Seller contributions:** Decide which costs you want covered and whether the loan allows the amount.
- **Contract funds:** Understand earnest money, the option fee, delivery requirements, and available cash.
- **Dates and protections:** Review closing, option, financing, appraisal, title, and any home sale terms.
- **Agent compensation:** Confirm who's paying what and how any buyer obligation affects closing funds.
- **Property details:** Review disclosures, HOA terms, survey, repairs, fixture leases, and items that convey.

Send me the offer details before it becomes a contract

A price reduction, seller credit, and builder incentive affect payment and closing funds in different ways. We'll compare the impact on your situation.

Look closely at builder incentives.

Compare complete loan terms, eligible credits, fees, and the payment after any temporary buydown ends. Ask whether the incentive requires a particular lender or title company. Before signing an appraisal waiver or removing financing protections, review the financial and contract risk with your agent or attorney.

Official references: [11] TREC [14] CFPB [23] TREC
Select a reference to open the official guidance.

UNDER CONTRACT

The first deadlines come fast.

Send me the fully executed contract and confirm its effective date with your agent.

Your immediate action list

- [ ] Send the signed contract, addenda, and agent and title contact details.
- [ ] Deliver required earnest money and the option fee through verified instructions.
- [ ] Schedule the inspection early enough to review results and negotiate on time.
- [ ] Get homeowners insurance quotes and report known property issues.
- [ ] Complete requested disclosures and upload missing documents.

Texas resale contract reminder

Under the current standard TREC resale form, earnest money and the option fee are due within three days after the effective date, with specified weekend and legal holiday extensions for delivery. The option termination notice deadline is 5 p.m. local property time on its stated date. Don't assume the delivery extension also extends your option period.

The contract controls your protections.

The option period is a negotiated opportunity to evaluate the property and use the termination right in your contract. Earnest money and the option fee serve different purposes. Refund rights depend on your terms, timely payment, required notices, and reason for termination.

Your agent should calendar financing, appraisal, title, survey, and disclosure deadlines. Builder and condominium contracts can differ. Consult your agent and a Texas real estate attorney about legal rights or termination.

Official references: [11] TREC
Select a reference to open the official guidance.

PROPERTY REVIEW

Four checks. Four different jobs.

Loan approval doesn't replace your own due diligence on the house.

Inspection

Helps you understand condition and needed repairs. Ask about major concerns and specialist follow up. Work with your agent on repair negotiations before the relevant deadlines.

Appraisal

Helps the lender evaluate value and program property requirements. It isn't a detailed inspection. Some loans qualify for a waiver or another valuation approach; the lender determines eligibility.

Title and survey

Title reviews ownership issues, liens, and exceptions. A survey shows boundaries and improvements. Ask about easements and restrictions. The lender's title policy protects the lender; an owner's policy covers eligible ownership risks for you.

Insurance

Get quotes early. Compare coverage, roof terms, replacement cost, deductibles, and lender requirements. Flood damage generally needs separate coverage. Send the selected policy details to the loan team.

What if the appraisal is below the price?

We'll review the effect on financing and cash needed. Your agent can discuss renegotiating; we can review a supported valuation reconsideration or other options. You aren't automatically required to cover the difference. Your contract protections and deadlines matter.

Official references: [11] TREC [12] CFPB [21] TDI [22] TDI
Select a reference to open the official guidance.

LOAN REVIEW

Get the file verified. Keep it steady.

A condition is a request to complete the lender's review. It doesn't automatically mean something's wrong.

Processing organizes your documents and third party items. Underwriting evaluates income, employment, credit, debts, closing funds, reserves, and the property under your loan program.

Conditional approval

The lender has reviewed the file and lists remaining items. These might include an updated statement, deposit explanation, income record, or property repair.

Clear to close

Requirements needed to move toward closing have been cleared. Final documents, lender checks, acceptable funds, and settlement steps still have to be completed.

Ask me before making a financial change.

- Financing a car, furniture, appliances, or other new monthly payments.
- Opening or closing credit accounts, cosigning, or making large card charges.
- Changing jobs, pay structure, hours, or your business.
- Moving large amounts, accepting gifts, or depositing difficult to document funds.
- Paying off debt or changing your down payment, loan structure, or occupancy.

That couch can wait

Let's get the home funded before adding new payments for what goes inside it. Your finances can be checked again before funding, so tell me about changes right away.

Pay bills on time, protect your closing funds, and send complete, current documents. Answer conditions directly. If you can't get a requested item, tell me quickly so we can work on the next step.

Official references: [2] CFPB [13] CFPB [24] CFPB [25] CFPB [26] CFPB
Select a reference to open the official guidance.

CLOSING AND POSSESSION

Closing is more than signing.

Review the numbers, protect your funds, and confirm when you'll actually get the keys.

Before your appointment

- **Review the Closing Disclosure.** For covered mortgages, you must receive it at least three business days before closing. The lender confirms timing and whether a change requires a new waiting period.
- **Check the final figures.** Verify names, property, loan amount, rate, term, payment, credits, fees, and cash to close. Compare your latest Loan Estimate and ask about differences.
- **Do the final walkthrough.** Your agent helps confirm condition, agreed repairs, and items that should remain.
- **Confirm logistics.** Ask title about identification, acceptable funds, signing arrangements, and remaining requirements.

Verify the wire before sending it

Call title using an independently verified number you've already saved. Confirm the recipient and account instructions directly. Don't rely on an email, changed attachment, or phone number in a new message. If anything changes, stop and verify.

Signing, funding, and the key handoff

Read the documents and ask questions before signing. Title coordinates settlement and the lender's funding requirements. Signing doesn't always mean immediate funding or keys. Possession follows your contract and any leaseback agreement; confirm the handoff before scheduling movers.

Official references: [9] CFPB [11] TREC [16] CFPB [20] CFPB
Select a reference to open the official guidance.

HOMEOWNERSHIP

Now it’s your home.

Set up the practical pieces early, then keep your mortgage in the bigger picture.

Your first month

- **Confirm the first payment.** Use the due date and instructions in your closing documents. Set up the correct servicer account and autopay.
- **Watch for servicing notices.** The company collecting payments can change. Verify legitimate notices and update payment arrangements when needed.
- **Save your records.** Keep closing documents, title policy, survey, insurance details, warranties, and repair records together.
- **Set up the house.** Transfer utilities, update your address, change locks or access codes, and make a maintenance plan.

Texas homestead

For a qualifying principal residence, check eligibility with your county appraisal district and submit the required application. Don’t assume the seller’s exemptions transfer to you.

Your payment can change

Taxes and insurance can change even with a fixed rate. Review escrow, insurance renewals, and tax notices. New construction taxes may change after the home is fully assessed.

Stay in touch when your goals change.

Call me when you’re considering a move, refinance, renovation, or investment property. We can compare it with your current loan and the costs of changing it. Refinancing still requires eligibility and approval; future rates or savings aren’t guaranteed.

Official references: [17] Texas Comptroller [18] CFPB [19] CFPB
Select a reference to open the official guidance.

QUICK ANSWERS

The questions everyone asks.

If your question isn't here, send it to me.

Do I need 20% down?

No. Eligible conventional and FHA paths can require less; VA or USDA may allow no down payment. Your situation determines the options.

Does applying mean I'm approved?

No. It starts the review. Preapproval is conditional, and final approval depends on borrower and property requirements.

Can I buy if I'm self employed?

Possibly. We'll compare the traditional or alternative documentation programs that fit how your income can be verified.

Can someone help with the funds?

Some loans allow eligible gifts or assistance. Source, terms, and documentation matter, so ask before transferring money.

Can the seller cover everything?

Only eligible costs within program rules and negotiated terms. A seller credit doesn't automatically replace your required down payment.

Should I wait for rates to fall?

Start with a payment you can afford today. Buying based on a future refinance assumes rates and eligibility will cooperate, which isn't guaranteed.

How long does buying take?

Preparation and shopping vary. Once under contract, we'll review the closing date and what the lender, property, and title work require.

What if I'm not ready yet?

We can identify the missing documents, savings goal, or other next step and revisit the plan as your situation changes.

Official references: [3] Fannie Mae [4] HUD [5] VA [6] USDA [10] CFPB [27] CFPB
Select a reference to open the official guidance.

PLAIN LANGUAGE REFERENCE

Mortgage words, translated.

A quick reference for the terms you'll hear along the way.

Principal

The loan balance. The principal part of a payment reduces what you owe.

Interest rate

The rate charged for borrowing. It doesn't include loan fees.

APR

Annual Percentage Rate. A yearly borrowing cost measure including interest and certain loan charges. See page 7.

PITI

Principal, interest, taxes, and insurance. Check whether the quote also includes mortgage insurance or HOA.

DTI

Debt to income ratio. Qualifying monthly debts compared with qualifying gross monthly income. Limits vary.

Mortgage insurance

Protects the lender. Conventional PMI and FHA mortgage insurance have different rules.

Escrow

A mortgage account for taxes or insurance. In a purchase, it can also mean funds held by title.

Prepaids

Costs paid ahead, such as interest or an insurance premium. They aren't all lender fees.

Earnest money

A contract deposit held by the escrow agent. Credit and refund treatment depend on the contract.

Option fee

A Texas contract payment tied to a negotiated termination option. Separate from earnest money.

Cash to close

The amount due at settlement after costs, deposits, credits, and adjustments.

Rate lock

A rate agreement for a defined period and subject to stated conditions.

Conditional approval

A lender review with listed items or conditions still to be satisfied.

Official references: [11] TREC [13] CFPB [15] CFPB [24] CFPB [27] CFPB [28] CFPB
Select a reference to open the official guidance.

YOUR PERSONAL PLAN

Turn the guide into a checklist.

Fill this out before we talk and update it as your purchase moves forward.

My starting numbers

Comfortable total monthly housing cost $ _____

Available purchase funds $ _____

Amount I want to keep after closing $ _____

Target city or area _____

Ideal buying timeframe _____

Current home sale needed? _____

Before I shop

- [ ] Complete Neal's secure application and upload requested documents.
- [ ] Review loan options, APR, the full payment, and cash to close.
- [ ] Understand preapproval conditions and my agent agreement.

Once I'm under contract

- [ ] Send the signed contract and calendar deadlines with my agent.
- [ ] Pay required funds through verified instructions and schedule inspection.
- [ ] Finalize insurance and respond to loan conditions.
- [ ] Review final numbers, verify closing funds, and confirm possession.

Questions I want to ask Neal

YOUR NEXT MOVE

Let’s look at your numbers.

You don’t have to figure out the whole mortgage process before getting started.

Complete my secure application so I can review your situation before we talk. Then we’ll walk through your options, the payment you’re aiming for, and the steps needed to move forward.



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READY WHEN YOU ARE.

Start your secure application.

See What I Qualify For

Prefer to talk through a question first? Call or email me. You’re welcome to start with the conversation you need.

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